

after the election, either on the advice of advisors or as a reaction to the financial media claiming financial stocks were bound to benefit in the “age of Trump.” However, focusing on these short-term trends is like rearranging the deck chairs on a sinking Titanic.

The innovative investor should ask if these gains were due to actual policies or the expectation of these policies, which hadn’t yet been implemented. Policies can be temporarily effective at reinforcing the financial status quo but are only stopgaps in the face of long-term secular trends. It’s important to recognize the disruption that bitcoin and cryptoassets can bring to the entire global financial system. Armed with this recognition, the innovative investor should consider the long-term investment prospects of financial companies clinging to their current operating models without consideration or recognition of the impending disruptions that these technologies will bring to the sector. The bottom line is that rather than fretting over where to position their deck chair, investors should consider if they should be long-term buyers of these existing banks and financial firms, given what they know about blockchain technology and the potential it brings to significantly change the banking industry.

THREE POTENTIAL STRATEGIES FOR SURVIVAL